Why AI?

Reasons to Use AI to Accelerate Contract Review

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Review of Last Presentation

Refer to previous presentation on How AI is used in Legal.

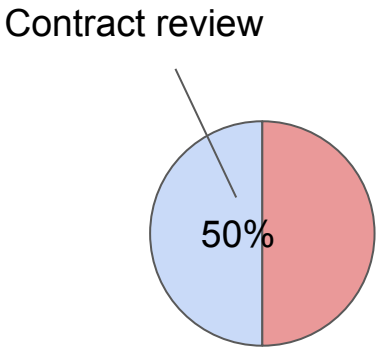
ML can detect different clauses of a contract and “read” it much faster than a human can manually.

ML can redact clauses (or portions thereof) such as personal information or confidential provisions in a contract or legal document.

Conclusion: Through ML, we can automate the low-level, menial aspects of due diligence.

Why AI in Contract Review?

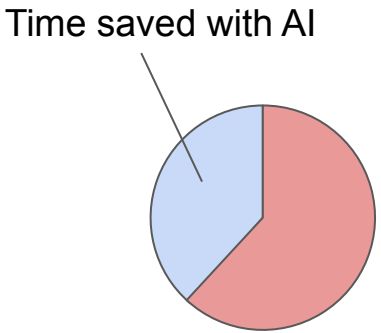
Contract Review without AI



Law firms spend **50%** of time doing contract review[1,2]

Average of **2,198 contracts** reviewed per company per year[2]

Lawyers save **20-40%** of time on contract due diligence using AI[3]



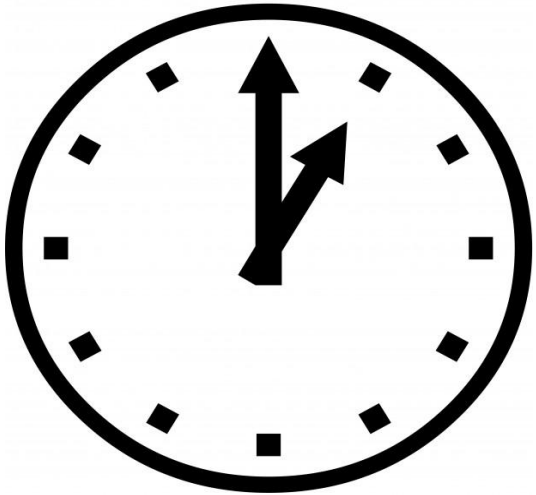
AI Saves Time and Increases Productivity

JP Morgan COIN (Contract Intelligence) software reviewed loan agreements:[4]

Manual contract review = 360,000 hours

AI contract review = seconds

360,000 hours of work done in seconds



AI Minimizes Human Error

Humans…

- make mistakes
- cannot work constantly
- are inconsistent in their work

AI

- can work constantly
- produces consistent work quality and product

Image credit: WebStockReview

Other Benefits of AI in Legal

- Automate low-level, menial labor
- Allow early detection of variation and prediction
- Improve organizational and logical structure
- Reduce attorney stress & frustration

Misconceptions of AI[5]

- “AI will replace **all** jobs”
- “Only **low-skilled** and **manual workers** will be **replaced** by AI and automation”
- “**Super-intelligent** computers will become better than humans at doing **anything** we can do”
- “Artificial intelligence will quickly **overtake** and **outpace** human intelligence”

AI **cannot** replace human lawyers.

AI is a tool to help humans be more efficient and effective.

References

[1] https://www.cebglobal.com/compliance-legal/smb-legal/contract-management-midsized.html

[2] https://www.acc.com/sites/default/files/2019-06/ACC_Benchmark_062019.pdf

[3] https://www.topbots.com/automating-the-law-a-landscape-of-legal-a-i-solutions/

[4] https://www.bloomberg.com/news/articles/2017-02-28/jpmorgan-marshals-an-army-of-developers-to-automate-high-finance

[5] https://www.forbes.com/sites/bernardmarr/2017/10/03/5-myths-about-artificial-intelligence-ai-you-must-stop-believing/#1129ed992739

Additional material:

https://www.forbes.com/sites/robtoews/2019/12/19/ai-will-transform-the-field-of-law/#11f26b257f01